

Microsoft Corp. (MSFT)

4QFY: Microsoft's role is increasingly strategic as enterprises move from frontier models to frontier ecosystems

MSFT

12m Price Target: **\$640.00**Price: **\$390.54**Upside: **63.9%**

Microsoft is indicated +7% after hours post a solid 4QFY (June) report. 4Q revenue of \$90.0bn (+17% cc yoy) was 3% above the Street and non-GAAP EPS of \$4.74 (+23% yoy) was 11% above the Street; and we detail key pieces to guidance below (FactSet). **We view this quarter as a meaningful step in reversing the stock's multi-quarter period of underperformance, as Microsoft delivered tangible proof points across several key investor debates: Azure acceleration against ongoing capacity constraints and 1P mix allocation, improving AI unit economics with stable cloud margins, and increasing evidence of Copilot monetization.**

- **There are several levers to Azure monetization and ROI.** We believe the impact of higher inflation costs on capex are well understood (~14% impact to CY26 capex). However, internal margin targets do not change even when component pricing is higher. Microsoft provided several datapoints on better monetization of Azure that we think are key in stabilizing ROI on a higher cost base, including a) nearly 50% faster dock to live times for GPUs, and b) ongoing scaling and block and tackle on cost, c) thoughtful bundling and pricing, including on Github power users, PaaS and CPU-related services. We look to whether improvements in pricing, internal silicon and model diversification can drive a further step function change in margins in FY27.
- **The center of gravity in the enterprise is shifting away from frontier models to frontier ecosystems.** Our industry conversations intraquarter have illustrated the importance of enterprises adopting a model strategy where not every token is used equally, and there is more discernment between the types of requests that get routed between frontier, open source models, and SLMs. At the same time, Microsoft has scaled its

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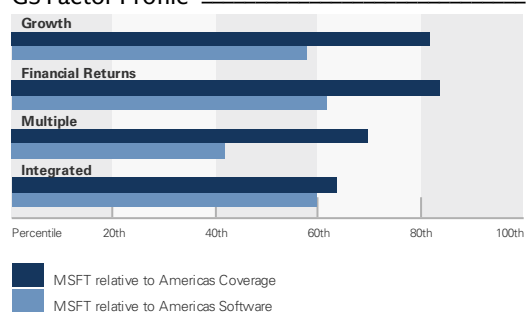
Key Data

Market cap: \$2.9tr
Enterprise value: \$2.9tr
3m ADTV: \$15.7bn
United States
Americas Software
M&A Rank: 3

GS Forecast

	6/26	6/27E	6/28E	6/29E
Revenue (\$ mn) New	331,839.0	389,734.7	470,524.1	568,586.3
Revenue (\$ mn) Old	329,440.2	387,103.7	466,617.4	562,744.6
EBITDA (\$ mn)	194,537.0	240,286.2	299,996.3	379,415.9
EBIT (\$ mn)	155,237.0	180,808.4	214,986.8	262,940.5
EPS (\$ New)	17.28	19.38	22.97	28.05
EPS (\$ Old)	16.75	19.32	22.93	28.01
P/E (X)	26.6	20.2	17.0	13.9
Dividend yield (%)	0.8	0.9	0.9	1.0
Net debt/EBITDA (X)	(0.2)	(0.1)	(0.0)	(0.1)
	6/26	9/26E	12/26E	3/27E
EPS (\$)	4.74	4.72	4.75	4.81

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
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BUY

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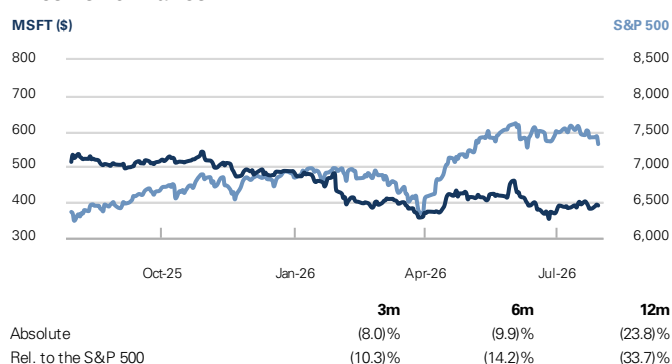
Rating since Jan 21, 2021

Ratios & Valuation

	6/26	6/27E	6/28E	6/29E
P/E (X)	26.6	20.2	17.0	13.9
EV/EBITDA (X)	17.4	11.9	9.6	7.6
EV/sales (X)	10.2	7.3	6.1	5.1
FCF yield (%)	2.0	1.4	0.4	1.6
EV/DACF (X)	18.1	13.5	10.9	8.7
CROCI (%)	31.4	28.1	27.5	27.1
ROE (%)	32.8	29.0	27.3	26.4
Net debt/EBITDA (X)	(0.2)	(0.1)	(0.0)	(0.1)
Net debt/equity (%)	(8.3)	(6.1)	(2.1)	(3.3)
Interest cover (X)	50.9	60.3	97.3	168.3
Inventory days	4.0	4.4	4.3	4.3
Receivable days	82.9	81.7	78.0	76.4
Days payable outstanding	120.3	132.0	129.9	131.8

Growth & Margins (%)

	6/26	6/27E	6/28E	6/29E
Total revenue growth	17.8	17.4	20.7	20.8
EBITDA growth	24.3	23.5	24.8	26.5
EPS growth	22.4	12.1	18.6	22.1
DPS growth	9.9	2.3	0.0	7.5
Gross margin	67.9	65.8	62.7	61.2
EBIT margin	46.8	46.4	45.7	46.2

Price Performance

Source: FactSet. Price as of 29 Jul 2026 close.

Income Statement (\$ mn)

	6/26	6/27E	6/28E	6/29E
Total revenue	331,839.0	389,734.7	470,524.1	568,586.3
Cost of goods sold	(106,374.0)	(133,324.4)	(175,327.0)	(220,537.4)
SG&A	(34,666.0)	(37,194.9)	(38,730.8)	(40,310.5)
R&D	(35,562.0)	(38,407.0)	(41,479.5)	(44,797.9)
Other operating inc./(exp.)	-	-	-	-
EBITDA	194,537.0	240,286.2	299,996.3	379,415.9
Depreciation & amortization	(39,300.0)	(59,477.8)	(85,009.6)	(116,475.4)
EBIT	155,237.0	180,808.4	214,986.8	262,940.5
Net interest inc./(exp.)	250.0	(493.3)	(978.5)	(917.6)
Income/(loss) from associates	-	-	-	-
Pre-tax profit	159,404.0	180,315.1	214,008.2	262,022.8
Provision for taxes	(30,618.0)	(36,063.0)	(42,801.6)	(52,404.6)
Minority interest	-	-	-	-
Preferred dividends	-	-	-	-
Net inc. (pre-exceptionals)	128,786.0	144,252.1	171,206.6	209,618.3
Net inc. (post-exceptionals)	133,749.0	144,252.1	171,206.6	209,618.3
EPS (basic, pre-exception) (\$)	17.33	19.44	23.05	28.14
EPS (diluted, pre-exception) (\$)	17.28	19.38	22.97	28.05
EPS (ex-ESO exp., dil.) (\$)	--	--	--	--
DPS (\$)	3.56	3.64	3.64	3.91
Div. payout ratio (%)	20.5	18.7	15.8	13.9
Wtd avg shares out. (basic) (mn)	7,429.3	7,420.4	7,428.9	7,448.9
Wtd avg shares out. (diluted) (mn)	7,453.5	7,444.7	7,453.1	7,473.2

Balance Sheet (\$ mn)

	6/26	6/27E	6/28E	6/29E
Cash & cash equivalents	20,935.0	32,771.4	26,861.8	31,836.0
Accounts receivable	80,876.0	93,647.0	107,544.9	130,625.8
Inventory	1,397.0	1,789.4	2,326.2	2,907.9
Other current assets	104,502.0	72,498.1	54,934.6	59,928.8
Total current assets	207,710.0	200,706.0	191,667.5	225,298.5
Net PP&E	337,253.0	494,315.4	694,427.4	880,878.3
Net intangibles	138,260.0	135,160.0	133,060.0	131,160.0
Total investments	36,348.0	36,348.0	36,348.0	36,348.0
Other long-term assets	38,805.0	42,726.5	46,484.8	56,461.3
Total assets	758,376.0	909,255.9	1,101,987.8	1,330,146.1
Accounts payable	42,416.0	54,024.7	70,773.6	88,470.6
Short-term debt	0.0	0.0	0.0	0.0
Current lease liabilities	-	-	-	-
Other current liabilities	126,409.0	142,023.1	156,951.0	174,373.0
Total current liabilities	168,825.0	196,047.8	227,724.6	262,843.5
Long-term debt	31,067.0	21,840.0	12,613.0	3,386.0
Non-current lease liabilities	16,532.0	16,532.0	16,532.0	16,532.0
Other long-term liabilities	96,818.0	119,277.2	140,458.3	157,403.1
Total long-term liabilities	147,164.0	160,742.4	173,095.5	181,255.6
Total liabilities	315,989.0	356,790.2	400,815.2	444,099.1
Preferred shares	-	-	-	-
Total common equity	442,387.0	552,465.6	701,172.6	886,046.9
Minority interest	-	-	-	-
Total liabilities & equity	758,376.0	909,255.9	1,101,987.8	1,330,146.1
BVPS (\$)	59.55	74.45	94.38	118.95

Cash Flow (\$ mn)

	6/26	6/27E	6/28E	6/29E
Net income	133,749.0	144,252.1	171,206.6	209,618.3
D&A add-back	43,448.0	59,477.8	85,009.6	116,475.4
Minority interest add-back	-	-	-	-
Net (inc)/dec working capital	(4,895.0)	18,488.0	9,274.4	(3,067.2)
Others	10,633.0	8,790.3	8,253.3	8,003.6
Cash flow from operations	182,935.0	231,008.2	273,743.8	331,030.0
Capital expenditures	(115,948.0)	(190,981.0)	(261,840.5)	(284,081.3)
Acquisitions	(1,743.0)	-	-	-
Divestitures	-	-	-	-
Others	(21,809.0)	24,000.0	22,167.0	-
Cash flow from investing	(139,500.0)	(166,981.0)	(239,673.5)	(284,081.3)
Dividends paid	(26,445.0)	(27,008.1)	(27,038.9)	(29,145.9)
Share issuance/(repurchase)	(20,262.0)	(15,955.6)	(3,714.0)	(3,601.6)
Inc/(dec) in debt	(3,000.0)	(9,227.0)	(9,227.0)	(9,227.0)
Others	(3,035.0)	-	-	-
Cash flow from financing	(52,742.0)	(52,190.8)	(39,979.9)	(41,974.5)
Total cash flow	(9,307.0)	11,836.4	(5,909.6)	4,974.2
Free cash flow	66,987.0	40,027.2	11,903.3	46,948.7
Free cash flow per share (basic) (\$)	9.02	5.39	1.60	6.30

Source: Company data, Goldman Sachs Research estimates.

Frontier program (for forward deployed engineers) and its model routing to drive context-based model outcomes and token efficiencies for customers. We view Microsoft's role in the AI ecosystem as increasingly strategic in the context of evolving customer model strategy.

■ **Copilot is showing stronger adoption under E7 and Copilot Cowork, reinforcing Microsoft's view that AI monetization extends beyond seat growth alone.**

Microsoft exited 4Q with >30M paid Copilot seats, or +10M net seat adds, more than 2x sequentially. Several indicators suggest deployments are broadening, and that the compounding effect of product innovation is driving higher usage. User satisfaction scores have doubled over the last three quarters, conversations per user are up ~2x yoy, and average engagement is now comparable to Outlook and Teams.

Importantly, Microsoft expects M365 Commercial Cloud growth to accelerate throughout FY27, driven by Copilot adoption, premium SKU mix including E5 and E7, and consumption-based monetization opportunities. Two months after launch, E7 has been adopted by hundreds of enterprise customers representing millions of seats, including a 400K-seat deployment at E&Y. We view the shift toward a seat-plus-consumption model as a meaningful expansion of Microsoft's TAM, particularly as customers embed Copilot into enterprise workflows and the industry shifts to value defined by work units. GitHub's recent transition to a new pricing framework drove stronger consumption revenue and improving margins, providing a good precedent for how Copilot monetization could evolve as usage-based revenue scales.

Earnings Recap

Exhibit 1: 4QFY26 Actuals vs. Estimates

\$ millions, unless specified	Actual	GSe	4Q26A Street	Actual vs GSe	Actual vs Street
Productivity and Business Processes	\$37,847	\$37,298	\$37,282	1%	2%
%YoY	14%	13%	13%		
Intelligent Cloud	\$39,306	\$38,203	\$38,241	3%	3%
%YoY	32%	28%	28%		
More Personal Computing	\$12,854	\$12,107	\$12,191	6%	5%
%YoY	-4%	-10%	-9%		
Total Revenue	\$90,007	\$87,608	\$87,705	3%	3%
%YoY	18%	15%	15%		
Operating Income, Adjusted	\$40,603	\$38,820	\$38,976	\$1,783	\$1,627
% margin	45%	44%	44%	80bps	67bps
% YoY	18%	13%	14%		
Earnings Per Share, Adjusted	\$4.74	\$4.22	\$4.26	12%	11%
% YoY	23%	9%	10%		
Free Cash Flow (excluding Finance Leases)	\$19,639	\$14,614	\$13,442	\$5,025	\$6,197
% margin	22%	17%	15%	514bps	649bps
% YoY	-23%	-43%	-47%		
Capex	\$41,000	\$41,571	\$42,368	-1%	-3%
%YoY	69%	72%	75%		
% YoY CC - Azure	43%	40%	40%	3%	3%

Source: FactSet, Company data, Goldman Sachs Global Investment Research

Post results, we update our F27E/F28E/F29E revenue forecast to \$390/\$471/\$569 bn from \$387/\$467/\$563, and our F27E/F28E/F29E adjusted EPS forecast to \$19.38/\$22.97/\$28.05 from \$19.32/\$22.93/\$28.01.

Valuation and Key Risks

We increase our 12-month price target to \$640 (vs. \$610 prior), based on a 28x P/E (unchanged) multiple to Microsoft's SNTM adjusted net income while updating our estimates for 4QFY results and initial FY27 guidance. Key downside risks include: longer ramp for internal silicon which can limit market share gains or gross margin expansion, greater investments in projects outside of expectations (e.g., non-Azure), key leadership changes, and more meaningful shift to custom software that could negatively impact its applications business.

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Reg AC

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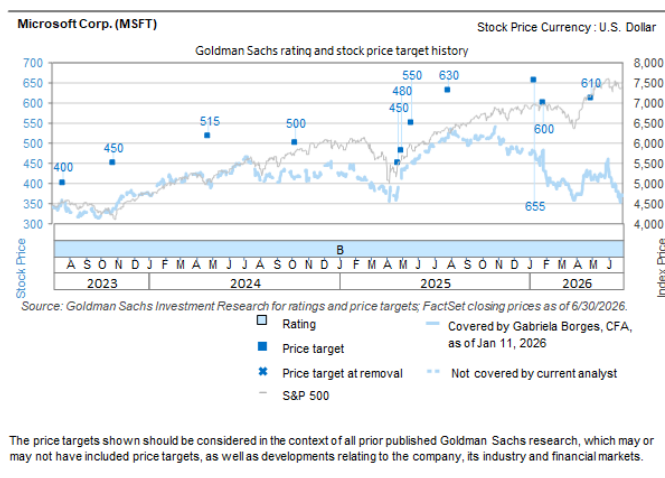
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Price target and rating history chart(s)



Target price history table(s)

Microsoft Corp. (MSFT)

Date of report	Target price (\$)	Closing price (\$)
30-Apr-26	610.00	407.78
29-Jan-26	600.00	433.50
11-Jan-26	655.00	479.28
31-Jul-25	630.00	533.50
20-May-25	550.00	458.17
01-May-25	480.00	425.40
24-Apr-25	450.00	387.30
10-Oct-24	500.00	415.84
26-Apr-24	515.00	406.32
25-Oct-23	450.00	340.67

Price targets shown in table(s) are unadjusted for corporate actions.

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